

04 Jun 2025 07:41:23 ET | 13 pages

Wistron (3231.TW)

Strong May-25 Sales Point to Solid GB200 Ramp and Potential Earnings Upside; Reiterate Buy

CITI'S TAKE

Wistron's reported May-25 sales of NT\$208.4bn (+56% m-o-m/+162% y-o-y) beat expectations, with the combined Apr-25 and May-25 sales reaching c.83%/c.86% of Citi/cons 2Q25E sales forecast, pointing to possible upside. While Wiwynn has yet to release its May-25 sales number, we believe the smoother ramp-up of GB200 for Dell was the key driver and expect the momentum to continue. Mgmt. had previously guided to delivery of compute trays equivalent to 500-1,000 GB200 racks in May-25 and June-25, and the ramp-up seems to be on track. Despite potential shipment variability in 2H25E due to the nonlinear nature of large-scale AI infrastructure deployment, we see meaningful upside to consensus – especially as Wistron continues to add new customers/projects including Oracle and Cisco. We expect the shares to react positively; the fact that mgmt. guided for GB200 compute tray profitability to exceed that of the NB business should help assuage investors' concerns.

Buy

Short-Term View: Upside, expires 06-JUN-25

Price (04 Jun 25 13:30)	NT\$114.00
Target price	NT\$165.00
Expected share price return	44.7%
Expected dividend yield	3.3%
Expected total return	48.1%
Market Cap	NT\$329,966 M
	US\$10,997M

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Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(NT\$M)	(NT\$)	(%)	(x)	(x)	(%)	(%)
2023A	11,472	4.09	1.9	27.9	3.2	11.4	2.1
2024A	17,446	6.12	49.8	18.6	2.5	14.7	3.3
2025E	24,878	8.72	42.4	13.1	2.0	16.8	4.5
2026E	29,415	10.31	18.2	11.1	1.7	16.6	5.4
2027E	34,081	11.94	15.9	9.5	1.5	16.4	6.2

Source: Powered by dataCentral

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

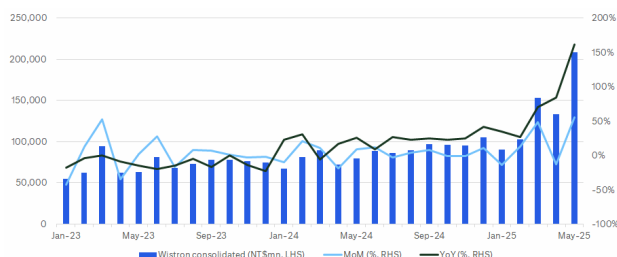
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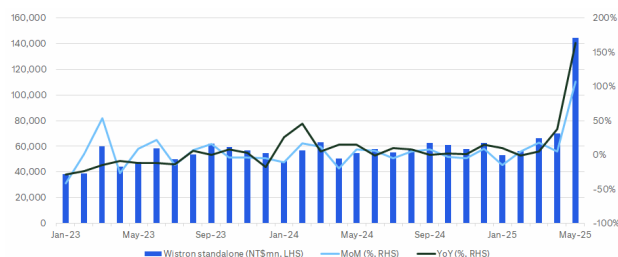
Figure 1. Wistron – Monthly sales and growth trends



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Source: Citi Research, Company Reports

Figure 2. Wistron – Standalone sales and growth trends



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Source: Company Reports, Citi Research Estimates

Figure 3. Wistron – Quarterly earnings forecast

NT\$ mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25E	3Q25E	4Q25E	2024	2025E	2026E	2027E
Net sales	239,325	240,207	272,542	297,182	346,485	412,976	388,609	370,798	1,049,256	1,518,868	1,759,446	1,982,884
Gross profit	17,230	20,083	22,745	24,033	27,056	30,988	28,829	26,749	84,091	113,622	129,618	144,207
OPEX	10,171	11,431	11,336	12,175	11,906	13,422	13,601	13,349	45,112	52,277	59,510	64,458
Operating profit	7,059	8,652	11,409	11,858	15,150	17,566	15,228	13,401	38,979	61,345	70,108	79,749
Total Non-OP	948	473	(1,220)	796	(343)	(1,037)	(1,066)	(1,031)	997	(3,477)	(3,910)	(3,561)
Pre-tax profit	8,007	9,125	10,189	12,654	14,807	16,529	14,162	12,370	39,975	57,868	66,198	76,188
Income tax	1,799	2,052	2,293	3,195	3,638	4,132	3,399	2,845	9,339	14,014	15,720	18,115
Net profit	3,524	4,412	4,199	5,311	5,331	7,041	6,365	6,140	17,446	24,878	29,415	34,081
EPS (NT\$)	1.24	1.55	1.47	1.86	1.87	2.47	2.23	2.15	6.12	8.72	10.31	11.94
Margins (%)												
Gross profit	7.2	8.4	8.3	8.1	7.8	7.5	7.4	7.2	8.0	7.5	7.4	7.3
OPEX to Sales Ratio	4.2	4.8	4.2	4.1	3.4	3.3	3.5	3.6	4.3	3.4	3.4	3.3
Operating profit	2.9	3.6	4.2	4.0	4.4	4.3	3.9	3.6	3.7	4.0	4.0	4.0
Pre-tax profit	3.3	3.8	3.7	4.3	4.3	4.0	3.6	3.3	3.8	3.8	3.8	3.8
Net profit	1.5	1.8	1.5	1.8	1.5	1.7	1.6	1.7	1.7	1.6	1.7	1.7
Y/Y (%)												
Net sales	12.9	15.8	25.6	28.9	44.8	71.9	42.6	24.8	21.0	44.8	15.8	12.7
Gross profit	16.0	28.1	33.5	12.2	57.0	54.3	26.8	11.3	21.9	35.1	14.1	11.3
OPEX	0.4	10.5	10.6	11.9	17.1	17.4	20.0	9.6	8.5	15.9	13.8	8.3
Operating profit	49.5	62.2	67.9	12.6	114.6	103.0	33.5	13.0	42.3	57.4	14.3	13.8
Pre-tax profit	204.8	47.7	21.4	77.7	84.9	81.1	39.0	(2.2)	64.4	44.8	14.4	15.1
Net profit	1,927.8	35.4	(10.7)	59.2	51.3	59.6	51.6	15.6	52.1	42.6	18.2	15.9
Q/Q (%)												
Net sales	3.8	0.4	13.5	9.0	16.6	19.2	(5.9)	(4.6)				
Gross profit	(19.5)	16.6	13.3	5.7	12.6	14.5	(7.0)	(7.2)				
Operating profit	(33.0)	22.6	31.9	3.9	27.8	15.9	(13.3)	(12.0)				
Pre-tax profit	12.4	14.0	11.7	24.2	17.0	11.6	(14.3)	(12.7)				
Net profit	5.6	25.2	(4.8)	26.5	0.4	32.1	(9.6)	(3.5)				

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Source: Company Reports, Citi Research Estimates

Short-Term View on Wistron (3231.TW)

Direction:

Upside

Duration:

Within 30 Days (expires 06 Jun 2025)

Date Added:

06 May 2025

Category:

Earnings and Macro fundamentals

We expect strong 1Q25 results and positive demand outlook for 2Q25E to drive cons earnings upgrades and catalyze the shares.

Bull/Bear: Wistron

NT\$ **198.00**



▲ 74% Upside

NT\$ **165.00**



▲ 45% Upside

NT\$ **90.00**



▼ 21% Downside

NT\$



Spread 95pp
Current Price and expected returns (upside/downside) as of 04 Jun 2025



BULL Assumptions

- OPM at 4.5% in 2025E-26E



BASE Assumptions

- OPM at 4.0% in 2025E-26E
- Target price set at 20x forward EPS



BEAR Assumptions

- OPM at 3.0% in 2025E-26E
- Target price set at 15x forward EPS

Wistron

Valuation

Our target price of NT\$165 for Wistron is based on 20x forward EPS, above the higher end of the historical trading range of 15x since 2016 to reflect the company's improving mix and margins, as well as exposure to AI servers that could potentially drive even stronger margin expansions and earnings momentum. We use a P/E-based methodology, as we believe the market will be primarily focused on Wistron's earnings performance given the dynamics of the NB/smartphone/server industry.

Risks

Downside risks to our target price for Wistron include: weaker-than-expected server and NB shipment growth and margins, lower-than-expected production yields, and market share loss in any key customers due to intensified competition.

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Appendix A-1

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Wistron (3231.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Carrie Liu



	Date	Rating	Target Price	Closing Price
1	31-May-22 13:43:47	1	*37.00	28.40
2	04-Nov-22 09:12:37	1	*40.00	25.35
3	07-Mar-23 06:31:39	1	*45.00	33.15

*Indicates Change

	Date	Rating	Target Price	Closing Price
4	18-May-23 17:39:11	1	*56.20	50.60
5	19-Jul-23 08:24:03	1	*176.00	128.00
6	30-Oct-23 06:18:47	*--	-	93.70

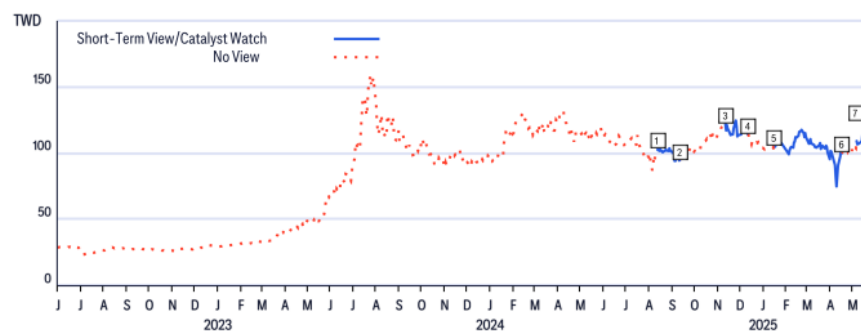
	Date	Rating	Target Price	Closing Price
7	15-Apr-24 20:34:29	*1	*180.00	119.50
8	10-May-24 10:20:48	1	*170.00	114.00
9	22-Nov-24 09:27:13	1	*165.00	118.50

Rating/target price changes above reflect Eastern Time

Wistron (3231.TW)

Short-Term View/Catalyst Watch Research

Analyst: Carrie Liu



	Date	Action	Expected Direction	Duration	Closing Price
1	12-Aug-24 07:11:17	Add STV	Upside	30 Days	102.50
2	11-Sep-24 21:44:40	Remove STV	Upside	30 Days	94.50
3	11-Nov-24 04:30:21	Add STV	Downside	30 Days	122.00

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
4	11-Dec-24 19:58:24	Remove STV	Downside	30 Days	114.00
5	16-Jan-25 03:45:06	Add STV	Upside	90 Days	104.50
6	16-Apr-25 21:37:35	Remove STV	Upside	90 Days	99.70

	Date	Action	Expected Direction	Duration	Closing Price
7	06-May-25 05:40:37	Add STV	Upside	30 Days	109.00

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Data current as of 01 Apr 2025	12 Month Rating			Catalyst Watch		
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% of companies in each rating category that are investment banking clients	37%	39%	29%	39%	36%	36%

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